Adjustments

(a) Salaries outstanding for December, 2016 amounted to ₹ 600

(b) Provide depreciation on furniture @ 10% p.a.

(c) Provide interest on capital for the year @ 5% p.a.

(d) Stock on 31st December, 2016 ₹ 14,000

Solution

In the books of Jain

Dr. Trading and Profit and Loss Account for the year ended 31st December, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Opening Stock		12,000	By Sales		80,000
To Purchases		60,000	By Closing Stock		14,000
To Gross Profit c/d		**22,000**			
		94,000			94,000
To Office salaries	6,600		By Gross Profit b/d		22,000
Add: Outstanding	600	7,200	By Miscellaneous receipts		600
To Establishment expenses		4,500			
To Selling expenses		2,300			
To Depreciation on furniture (10,000 x 10%)		1,000			
To Interest on capital (20,000 x 5%)		1,000			
To Net profit (transferred to capital A/c)		**6,600**			
		22,600			22,600

Balance Sheet as on 31st December, 2016

Liabilities		₹	₹	Assets	₹	₹
Capital		20,000		Furniture	10,000	
Add: Net profit		6,600		Less: Depreciation	1,000	9,000
Add: Interest on capital		1,000		Stock in trade		14,000
		27,600		Debtors		8,000
Less: Drawings	4,800			Cash at bank		2,400
Income tax	500	5,300	22,300			
Creditors			10,500			
Office salaries outstanding			600			
			33,400			33,400

Illustration 14

Edward's books show the following balances. Prepare his trading and profit and loss A/c for the year ended 31st December, 2016 and a balance sheet on at that date.

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